

Position-Sizing Worksheet

Decide your limits before the excitement hits. Define your pool, set a cap, split core from explore.

EDUCATIONAL TOOL — NOT FINANCIAL ADVICE. This helps you apply your OWN risk limits with simple math. It does not tell you what to buy, and all investing carries risk including loss of principal. Decide your own caps; consider a licensed professional.

STEP 1 — YOUR POOL & CAP

Total investable pool (excludes emergency fund)\$ _____

Per-position cap (% of pool, higher-risk bets — many use 1–5%) _____ %

Core allocation (% in diversified holdings) _____ %

STEP 2 — YOUR LIMITS

Maximum dollars per single position (pool × cap)\$ _____

Core bucket, diversified (pool × core %)\$ _____

Explore bucket, concentrated bets (pool – core)\$ _____

STEP 3 — POSITION PLANNER

POSITION	AMOUNT YOU PLAN	WITHIN CAP?	% OF POOL
Idea 1	\$ _____	☐ OK ☐ Over cap	_____ %
Idea 2	\$ _____	☐ OK ☐ Over cap	_____ %
Idea 3	\$ _____	☐ OK ☐ Over cap	_____ %
Idea 4	\$ _____	☐ OK ☐ Over cap	_____ %

If any position is over your cap, trim it to your maximum per-position dollars from Step 2. The discipline is deciding the cap while calm — then letting it hold the line when an idea feels exciting.

Revisit quarterly: check whether a winner has grown beyond its cap, and trim back toward plan. Update these numbers as your pool changes.